Scarcity and Resource Allocation

AP Microeconomics · Unit 1 · Session 01

One scarce resource can support several valuable uses.

90-minute lesson

Handout IDs: H02 · H01 · H03 · P01 · G02 · G01 · T01 · E01

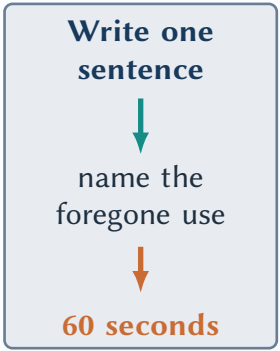
Official focus MKT-1.A · MKT-1.B

A fixed resource forces a choice

A town has a fixed amount of land, labor, and time.

It chooses to produce more school meals.

At least one other use of those resources must fall.



Today’s official targets

H01 · MKT-1.A AND MKT-1.B

- Define resources and explain why **scarcity creates trade-offs**.
- Answer the allocation questions: **what, how, and for whom**.
- Compare **market, command, and mixed systems**.
- Explain one choice with a **foregone alternative**.

Success criterion

I can name the scarce input, the choice, and the alternative use that gives up a benefit.

CED links

MKT-1.A · MKT-1.B

CED pp. 41–42

Scarcity turns resources into trade-offs

H01 · SCARCITY, TRADE-OFF, OPPORTUNITY COST

Scarcity

Available resources are limited relative to desired uses.

The resource may be land, labor, physical capital, time, or productive capacity.

Trade-off

Choosing one use means giving up another use.

Opportunity cost = the value of the best alternative given up.

scarce resource ⟶ choice ⟶ foregone alternative

Every economic system answers three questions

H03 · RESOURCE ALLOCATION

What

Which goods or services will be made?

Clinic example

Vaccinations or meal kits?

How

Which methods and inputs will be used?

Clinic example

Nurses and equipment or a mobile unit?

For whom

Who will receive the output?

Clinic example

Residents meeting a stated rule?

Fixed capacity makes all three questions unavoidable.

Economic systems coordinate scarce resources

P01 · COMPARE THE MECHANISM, NOT A RANKING

Market

Prices, incentives, and voluntary exchange guide decisions.

Signal: demand can raise a price and attract resources.

Command

Central planning and administrative direction guide decisions.

Signal: an authority sets targets or directs inputs.

Mixed

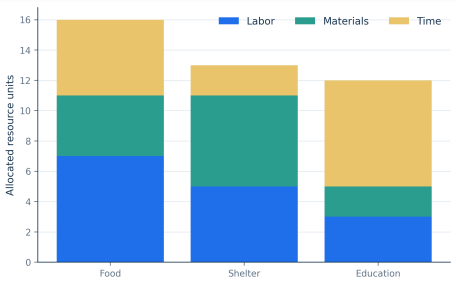
Markets operate alongside public rules or provision.

Signal: private and public decisions interact.

The coordinating mechanism changes; scarcity remains.

A resource bundle can support competing uses

G02 · RESOURCE BUNDLE



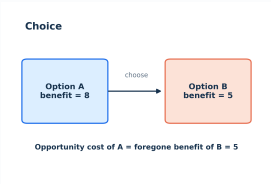
Choose one bar.

Name one resource.
Name one displaced use.

Evidence: fixed input + displaced alternative.

Opportunity cost names the benefit left behind

G01 · CHOICE CARD



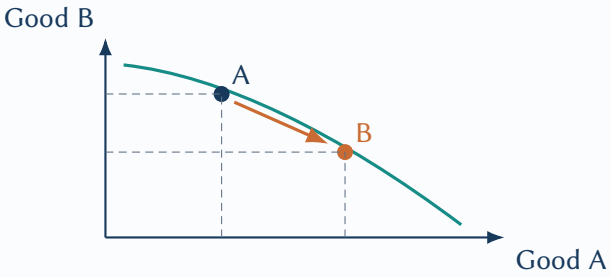
If the decision-maker chooses A:

the opportunity cost is the benefit from B.

A uses a scarce resource; choosing A gives up B’s benefit.

A movement along a boundary shows a trade-off

BRIDGE GRAPH · PREVIEW FOR SESSION 2



Moving from A to B:

- Good A increases.
- Good B decreases.
- The trade-off is the Good B forgone.

Session 2 formalizes this boundary.

AP transfer: identify the scarce resource

T01 · MCQ AND SHORT RESPONSE

One empty classroom must serve either a tutoring center or a rehearsal room. Which statement is most accurate?

1. Scarcity exists only if the school charges rent.
2. The room is scarce because it has alternative uses.
3. There is no scarcity if both activities are valuable.

Answer: B

The fixed classroom cannot serve both uses at once.

Short response

What allocation question is answered when a city makes a building a clinic?

Exit ticket: state the causal chain

E01 · LAST 3 MINUTES

scarce resource → choice → trade-off

Complete one sentence:

"Because ____ is limited, choosing ____ means giving up ____."

Submit one accurate causal sentence.

One point to check:

Write one distinction you still need to review.